

**Table 33.10** Trading Tactics

| Trading Tactic               | Explanation                                                                                                                                                                                                                               |
|------------------------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Measure rule                 | Compute the pattern height from the lowest low between the two tops to the highest peak. Subtract the result from the lowest low. The result is the target price. The bottom portion of the table shows how often the measure rule works. |
| Wait for breakout            | Wait for a close below the confirmation point before selling—usually.                                                                                                                                                                     |
| Trade with market trend      | For best results, short in a bear market.                                                                                                                                                                                                 |
| Check others in the industry | To avoid 5% failures, check other stocks in the same industry and trade if they are showing topping patterns or if they are falling.                                                                                                      |
| Wait for trend change        | If you can determine when the stock bottoms or if the pattern busts, then buy.                                                                                                                                                            |
| Stop location                | See <a href="#">Table 33.7</a> for guidance.                                                                                                                                                                                              |
| Busted trade                 | Single busted patterns outperform. See <a href="#">Table 33.9</a> .                                                                                                                                                                       |
| Tips                         | See text.                                                                                                                                                                                                                                 |

| Description                            | Down Breakout |
|----------------------------------------|---------------|
| Percentage reaching half height target | 71%           |
| Percentage reaching full height target | 43%           |
| Percentage reaching 2× height          | 19%           |
| Percentage reaching 3× height          | 11%           |

How often does the measure rule work? Glad you asked because I provide the answer in the lower portion of the table. Using the full height, as in the example above, price reaches the target just 43% of the time. Maybe that explains why the stock in the figure didn't drop that far.

If you cut the height in half and use that in the computation, you'll see that the stock reached the closer target (25.77) on the way to B.